

The economics of money

From the 16th century, understanding of the nature of money became more sophisticated. Economics as a discipline emerged, in part to help explain the inflation caused in Europe by the large-scale importation of silver from the newly discovered Americas. National banks were established in the late 17th century, with the duty of regulating the countries' money supplies.

By the early 20th century, money became separated from its direct relationship to precious metal. The Gold Standard collapsed altogether in the 1930s. By the mid-20th century, new ways of trading with money appeared such as credit cards, digital transactions, and even forms of money such as cryptocurrencies and financial derivatives. As a result, the amount of money in existence and in circulation increased enormously.

